

Trade Confirmation Matching – Standard Operating Procedure

Sample enterprise SOP for workflow-extraction testing

1. Purpose and Scope

This procedure governs the reconciliation of executed trades received from external brokers against trade records maintained in the firm's internal order management and settlement systems. It applies to standard listed-equity and similar transactions received through the firm's approved broker communication channels. The procedure is intended to ensure that a trade is not treated as fully reconciled or settled unless the essential economic fields in the broker confirmation agree with the firm's internal record.

2. Roles and Responsibilities

The reconciliation service performs the initial comparison of incoming confirmations with internal records. The operations team is responsible for maintaining the matching rules and monitoring exceptions. Operations analysts investigate items that cannot be matched automatically. Where an exception cannot be resolved using the available trade records, the item is escalated according to the existing settlement operations procedure. The normal matching process does not require an analyst to interpret market conditions or determine the commercial intent of a trade.

3. Receipt of Confirmation

Broker confirmations are received electronically during the trading day and are placed into the firm's reconciliation workflow. The incoming record normally contains information identifying the transaction and the economic terms agreed with the broker. The system validates that the required fields are present before attempting reconciliation. Records that are incomplete or technically malformed are retained in the existing exception process rather than being treated as successful matches.

4. Identification of Internal Record

After a valid confirmation is received, the reconciliation service searches the internal order and trade records for the corresponding transaction. Trade identifiers and other available reference information are used to identify the expected internal record. If multiple candidate records are returned, the service does not select one based on subjective interpretation; the item remains unresolved for operational review.

5. Field-Level Reconciliation

For a candidate match, the service compares the security ticker, executed quantity, execution price and contractual settlement date. The values are evaluated using the configured matching rules. The normal successful path requires the relevant fields to agree exactly. The system does not use natural-language interpretation to determine whether two values are economically similar, because the reconciliation control is designed around explicit field equality.

6. Successful Match

When all required fields satisfy the configured matching criteria, the confirmation is considered reconciled. The system updates the trade's reconciliation status and allows the existing settlement workflow to proceed. The matched records remain available in the normal audit trail so that operations personnel can trace the status update back to the original confirmation and internal trade record.

7. Mismatches and Exceptions

If the quantity, price, settlement date or other required value differs, the trade is not marked as settled through the automatic path. The system records the mismatch and places the item in the operational exception queue. Examples include a broker reporting a different executed quantity, a price discrepancy caused by a correction, or a settlement date that differs from the internal record. The reconciliation service does not attempt to infer the cause of the discrepancy.

8. Operational Review

An operations analyst reviews exception items using the existing records and procedures. Depending on the circumstances, the analyst may compare the broker confirmation with the order history, contact the relevant operations or trading team, or obtain a corrected confirmation. Once the discrepancy has been resolved, the trade is processed through the established correction and reconciliation procedure.

9. Controls and Auditability

The matching process uses explicit rules and produces a traceable outcome for each confirmation. Successful matches and unresolved exceptions are recorded separately. Changes to matching criteria are managed through the firm's existing operational change-control process. The system should not modify a trade's economic fields simply to achieve a match.

10. Processing Considerations

The process is designed for high-volume repetitive reconciliation. The normal path consists of retrieving a known record, comparing a fixed set of fields and updating a status when predefined conditions are satisfied. Human involvement is concentrated on cases where the deterministic comparison fails or the source data is incomplete.